

Meta Platforms, Inc.

META NASDAQ

Buy

\$716.86 ▼ 4.63%

12M Price Target
\$850.00

52-Week Range
\$520.26 – \$779.82

Market Cap
\$1.83T

META: Enterprise AI Push Sparks Selloff — Overreaction

WHAT HAPPENED

- META dropped 4.6% today after a monster 4.5% pop on Wed — the story is Meta announcing an enterprise AI push aimed squarely at Salesforce, ServiceNow, and Microsoft. The market's initial reaction was excitement, but today it's "wait, how much are they going to spend to compete in a whole new arena?" Combine that with them poaching MongoDB's CEO (signaling serious infrastructure ambitions) and you get profit-taking after a hot week.
- Smart money got defensive fast — put/call activity shows big traders buying downside protection at \$720/\$722/\$725 strikes (essentially betting the stock stays below those levels near-term). And insiders — including the Chief Product Officer dumping \$28M worth on Sept 21 — were selling into strength. That's a yellow flag, not a red one, but worth noting.

WHY IT MATTERS

This selloff is more about "sticker shock" on Meta's ambitions than anything broken in the business. Zuck is basically telling Wall Street: "I'm not just an ad company, I'm coming for the entire enterprise software stack" — and that means MORE capex on top of the already massive AI infrastructure spend, which spooks investors who wanted margin expansion. But here's the inference: if Meta actually pulls off even 10% of what Salesforce and ServiceNow do in enterprise (\$40B+ combined market), that's a whole new revenue leg that justifies a HIGHER multiple, not a lower one. The Trump administration's hands-off approach to Big Tech antitrust (versus Biden's FTC under Lina Khan) also gives Meta room to expand into adjacent markets without immediate regulatory pushback — something that would've been unthinkable 18 months ago.

POLICY & POLITICAL WATCH

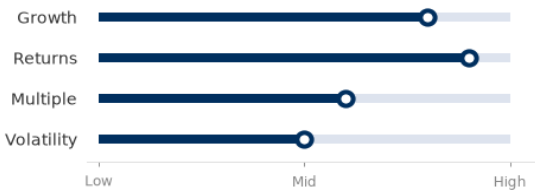
The big thing to watch is the AI infrastructure and permitting reform push in Congress — there's bipartisan momentum on streamlining data center approvals and power grid buildout, which directly helps Meta since they're spending \$60B+ annually on AI infrastructure. On the flip side, several states (Texas, Utah, and now a federal bill in committee) are pushing age-verification laws for social media, which if passed at the federal level would raise compliance costs for Instagram/Facebook but honestly hurt smaller competitors way more. Also keep an eye on the EU Digital Markets Act enforcement — Trump's team has been publicly warning Europe against fining US tech companies, and that political air cover is real money for Meta (they've paid billions in EU fines historically).

IS IT EXPENSIVE?

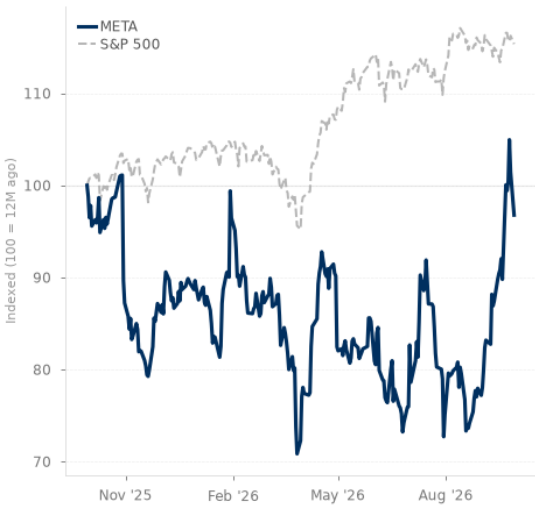
Key Data

Price (USD)	\$716.86
12M Price Target	\$850.00
Upside / (Downside)	+18.6%
Market Cap	\$1.83T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	26.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$780.00	\$735.00	\$680.00
6 Months	\$850.00	\$780.00	\$650.00
1 Year	\$920.00	\$850.00	\$620.00
2 Years	\$1100.00	\$950.00	\$600.00
5 Years	\$1500.00	\$1200.00	\$550.00
10 Years	\$2500.00	\$1800.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare and Consumer Staples caught a bid today — classic defensive rotation, which suggests some investors are getting nervous about high-multiple tech. Energy holding up too, likely tied to Trump reconsidering Biden's fuel mandates (mentioned in today's news).

COOLING OFF: Utilities and Real Estate got smoked (-3% on the week) — this is a rates story, markets are pricing in fewer Fed cuts, which hurts anything rate-sensitive.

ROTATION WATCH: Money looks to be rotating OUT of long-duration bets (utilities, REITs, and today, mega-cap tech) and INTO defensives and value. That's a headwind for META short-term but doesn't change the 12-month story.

RELATED PLAY: If you believe Meta's enterprise AI push is real, the picks-and-shovels play is the data center and power infrastructure names — Vertiv (VRT), Eaton (ETN), and even the nuclear-adjacent names like Constellation (CEG) all benefit from every dollar of AI capex Meta spends.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI kingmaker — every hyperscaler including Meta is buying their chips, and today's news reinforced that.
- GOOGL (Alphabet): Quietly outperforming because their cloud + Gemini AI story is finally getting credit, and they face similar-but-lighter regulatory scrutiny.

META CONTEXT: Meta is roughly middle-of-the-pack in mega-cap tech right now — it ripped to a new high on Wednesday then gave it back, which tells me it's still range-bound between \$700-780 while investors figure out whether the enterprise push is genius or expensive distraction. Leadership will return if Q3 earnings (late October) show ad revenue accelerating.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$700-720 zone; add aggressively under \$680

Time Horizon: 12-24 months

Thesis Invalidation: Ad revenue growth drops below 10% YoY, or DOJ/FTC breakup case gains real traction

Hedging: Buy \$680 puts 90 days out, or pair with short GOOGL if you want a tech-only hedge